



MONTHLY UPDATE

Kenya: monthly update, July 2026

Edition of 2026-08-05 · 84 systems and instruments tracked, 11 of them not held

Developments recorded from artefacts published between 2026-07-01 and 2026-08-05 – July 2026 carried forward to the date of issue, so the report holds the nightly catch to the day it was cut. Sections follow the status report.

Summary of the month

The month's largest single event was a consultation closing rather than an instrument taking effect: comment on the [draft AI and Other Emerging Technologies Policy](#) opened on 21 July and closed on 4 August 2026. Two instruments did commence – virtual-asset regulations gazetted on 22 July, and an equipment distributor licence effective from a notice of 21 July. The presidency's website was defaced on 18 July and restored on 20 July. On 28 July the Court of Appeal struck the false-publication sections of the Computer Misuse and Cybercrimes Act.

Infrastructure

The Communications Authority introduced a [Communications Equipment Distributor licence](#) by public notice on 21 July 2026, mandatory before equipment type approval and customs clearance, with penalties of KSh 1m or three years. Two days later it introduced vendor class-licence rules requiring a twelve-month warranty and three years of retained sales records.

Satellite capacity ran out in the country's densest markets. The operator [suspended new sign-ups across seven counties](#) in early July, diverting orders to a deposit-backed waitlist. On 4 August the second mobile operator said its direct-to-cell pilot had completed and it awaits regulatory approval; the interference audit opened in March has produced no published finding.

Kenya and Tanzania [launched a cross-border terrestrial fibre link](#) on 29 July 2026, integrating the Tanzanian backbone with the Mombasa submarine landings. The London Internet Exchange [added a regional cloud provider to its Nairobi hub](#) in July, reaching 55 or more connected networks on combined traffic of 330 Gbps.

The presidency's website was [defaced on 18 July with a 5 BTC ransom demand and restored on 20 July](#) – the second compromise of that portal in eight months. State House says no evidence of data access was found; cause and attribution are undisclosed. On 4 August the operator building the 44MW Tatu City data centre [moved completion to July 2027](#) from a first-quarter 2027 date.

Digital public infrastructure

The Controller of Budget's report entered July's reading: [1,695 of a target 11,000 services](#) were migrated onto eCitizen in the year to 31 March 2026, against 3,458 the year before, described as a dismal performance.

The health ministry issued tender addenda on 27 July 2026 that [make financial, tax, insurance, pension, payroll, laboratory and identity interfaces day-one mandatory](#) for a national public-health enterprise system, and require primary hosting inside an approved Kenyan government or health-sector environment.

Health claims authorisation failed at the counter through the month. A teachers' union raised on 30 July that members were [turned away and billed in cash](#) when the platform failed, one charged Ksh8,500 on 19 July; the Authority answered that the Digital Health Agency runs the system on its behalf.

Borrowers can [repay Hustler Fund loans in loyalty points from 23 July](#), five points settling one shilling, recovering KSh 3m in the first week. A revised merchant tariff schedule takes effect on 7 August, delivered as voluntary alignment with central bank pricing principles rather than a gazetted rule. A second operator launched a merchant wallet on 3 August.

Governance and regulation

Virtual-asset regulations were [gazetted on 22 July 2026 as Legal Notice 134](#), setting paid-up capital by licence class from KES 300m for stablecoin issuance to nil for investment advisers, and a seizure and freezing framework; the draft's ownership cap did not survive into the gazetted text. Existing operators must license afresh by 4 November 2026 under the 2025 Act.

On 28 July the Court of Appeal's narrowing of the Computer Misuse and Cybercrimes Act was [reported at a coalition close-out](#): the false-publication sections and the power to shut down websites without judicial oversight were struck, and a conservatory order blocks a national internet shutdown pending full hearing.

The data-protection regulator moved twice. It launched a quality management system on 14 July, phased toward external certification. And on 4 August it published [draft guidance on offshore AI processing](#) requiring a lawful transfer basis, a documented adequacy assessment and a written processing agreement before personal data leaves Kenya; the note itself is not held after two retrievals returned HTTP 404.

The gambling regulator [confirmed on 3 August](#) that it is investigating three licensed operators on a complaint dated 19 May 2026, with police requesting its entire record on the licensees back to 2018.

Artificial intelligence and the technology sector

The draft AI policy was published for comment on 21 July and comment closed on 4 August. It runs to 226 pages, asserts [effects-based jurisdiction over entities outside Kenya](#) whose outputs have direct and foreseeable effects in the country, leaves "high risk" undefined and states no penalties. Its labour chapter [sets minimum standards for content moderators, data annotators and evaluators](#), binding on international firms operating through outsourcing partners.

An analysis published on 23 July recorded that the National AI Strategy, costed at KSh 152bn over five years, [carries no dedicated allocation in the 2026/27 budget](#). On 28 July the government and the UN development programme agreed progress on a national AI computing platform; no GPU count, cost or commissioning date was published. Kenya was named on 31 July as one of five governments launching a pooled African-language AI initiative.

Venture funding data published on 27 July put Kenyan startups at [US\\$126m in the first half of 2026](#), third in Africa and the weakest half since early 2021, against US\$1.04bn across 2025.

Inclusion, capacity and finance

Delivery counts and closures dominated the month. The 117th digital hub was [commissioned in Baringo on 20 July](#) on the ceremony series, against a separate installed-base series of about 350 that the programme's own officials also use. The regulator donated computers to a school in Turkana on 30 July, one of 23 institutions recently supported, with no quantity or value disclosed.

The KenSafeSpace digital-rights coalition [closed on 28 July](#) after 30 months on a EUR 1.3m grant, reporting 18,000 people reached directly and 133 defenders trained, with its 49 members continuing unfunded; a successor programme opened the same day training 150 justice-sector officials on digital evidence.

The Auditor-General's findings on the Hustler Fund entered the record on 23 July: [104,631 loans worth KSh 116.5m](#) were issued to borrowers whose national identity details were missing from the customer database, against a 15% default rate and state funding down to KSh 300m in the year to June 2026. The 2027/28 budget process launched on 24 July naming the Digital Superhighway a priority sector, with no ceiling or figure published.

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